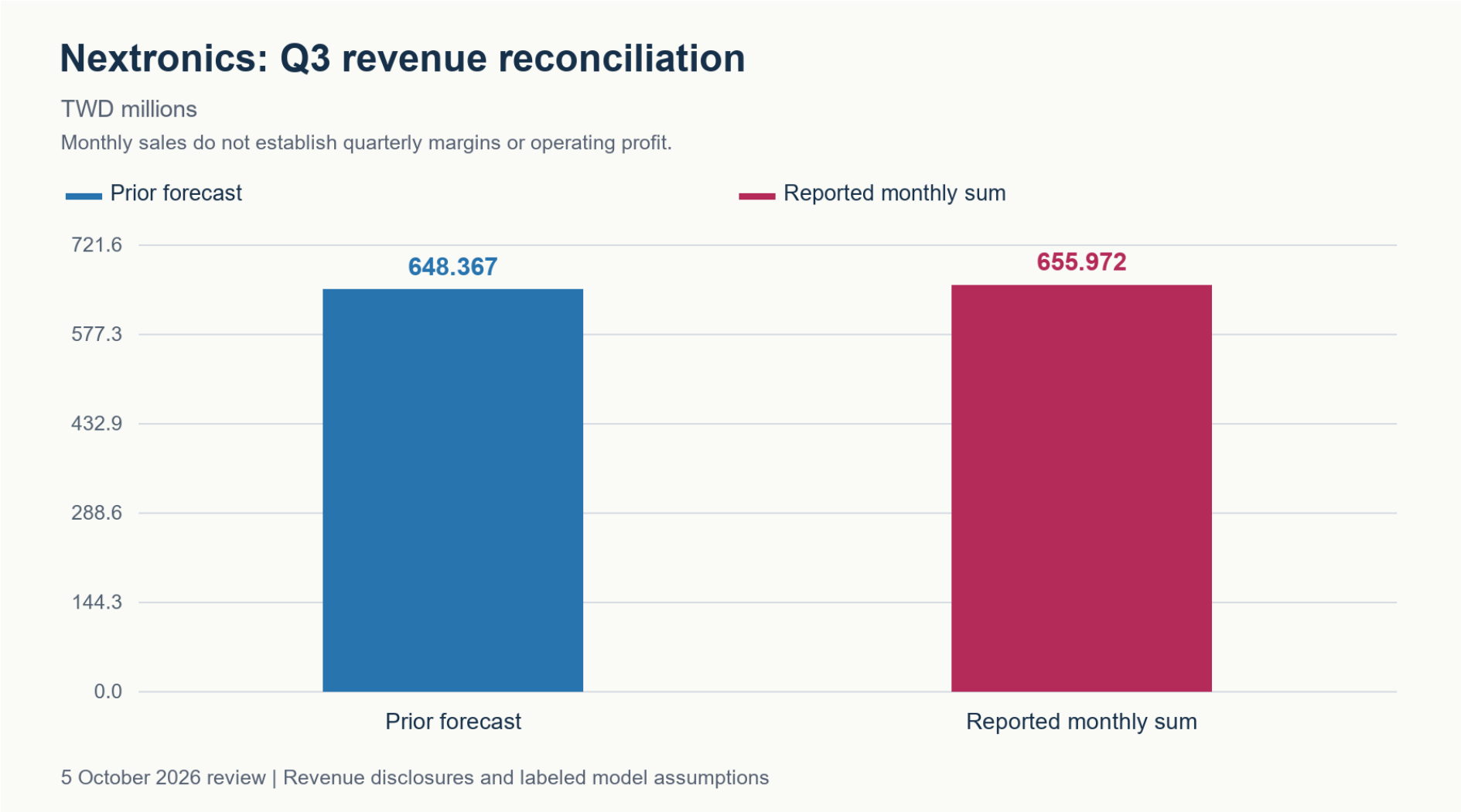
8147.TWO - Nextronics Engineering

Full active edition | Financial methods and portfolio Base overrides preserved.

October 5, 2026 update: September revenue reconciled

Active Q4 2027 price target: TWD 396.141912 per share, unchanged. Analytical Base 72/100; protected portfolio Excel Base 70/100, both unchanged.

Q3 monthly sales 655.972M, +1.17% vs forecast. Revenue anchor and dependent Q3 profit estimates updated; margins remain forecasts. Later-quarter inputs and Q4 2027 ceiling unchanged.



Q3 2026 prior forecast versus reported monthly-sales sum. TWD millions. Quarterly margins and OP are still modeled.

Reported monthly revenue	TWD millions
July 2026	188.823
August 2026	229.772
September 2026	237.377

Reported monthly revenue	TWD millions
Q3 monthly sum	655.972
Prior Q3 forecast	648.367
Q3 change	+1.1729%

Decision ledger (approved model treatment): Reported monthly revenue sum replaces Q3 forecast, probability100% for reported figure; product mix/margins/opex remain model assumptions. Do not infer actual OP. Future period input assumptions and existing custom multiple/share conventions retained. No unreported HBM or pricing addition. Q3 is outside Q4 2027 valuation window.

Source and dates: MOPS September consolidated revenue disclosure, company code 8147, ROC year 115, month 09; original monetary unit TWD thousands, divided by 1,000 for the table above. Retrieved October 5, 2026. MOPS table provides period but not first-publication timestamp; October 5 is retrieval date, not a proven initial-release date. The July/August figures retain their existing source provenance: Current artifact reported history; not freshly re-retrieved in this packet.

The company has reported monthly revenue, not a complete Q3 income statement. Product allocations, gross margins, operating expenses and OP remain explicitly modeled. The existing multiple, profit definition, share convention and protected Excel Base are retained. All later-quarter operating assumptions are retained.

Affected ceiling quarter	Previous target TWD	Updated target TWD	Change
Q3 2026	192.875922	194.006247	+0.5860%

Framework 8.0 - Research cutoff: 1 October 2026. Current calendar quarter: Q4 2026.

Status: Full research update incorporating the September 30 investor conference and the single active probability-weighted operating case.

Classification: TEMPORAL BOTTLENECK - qualified connectors and external-laser thermal assemblies.

Portfolio Base: 70/100 - user-selected and unchanged. Analytical recommendation: **72/100 (43/60)**, advisory only and unchanged.

Active Q4 2027 operating ceiling: TWD 396.141912 per share, compared with **TWD 384.493032** using the prior inputs for the same maturity quarter, a **3.03%** increase. Exact earnings window: Q4 2027 through Q3 2028. The active horizon advances to Q1 2028 on January 1, 2027.

Financial amounts are TWD millions unless stated otherwise. The sanctioned method remains 20x rolling forward-four-quarter operating profit divided by the existing 50.595711592M all-in share proxy. The 60% probability applies once to incremental connector growth. It is neither a haircut to total revenue nor a multiplier on the final ceiling. The portfolio Base is a separate thesis score.

1. Thesis, products and competitive position

ENABLER: custom connectors, mechanical integration and thermal products increase content per AI system. Medical, industrial and aerospace applications diversify demand. Qualification, precision and reliability create barriers; the evidence does not establish a sole-source monopoly.

Product identity and system role

Nextronics Engineering is 正凌, ticker 8147.TWO. Its opportunity is in qualified interconnect components and assemblies, including connector systems, cable-related products and thermal/mechanical assemblies associated with external laser sources. It does not manufacture the entire optical engine or own a universal sole-source connector standard.

External laser architectures need practical electrical connection, heat removal, serviceability and mechanical integration. A thermal cage or connector can become difficult to replace within a qualified design even when several vendors can serve the broader market. The original research's connector thesis is therefore retained as program-specific switching friction, with customer concentration and manufacturing execution explicitly monitored.

Recognition and competing architectures

The three reported product categories provide the revenue anchor below. AI exposure estimates are management characterizations of mix, while future quarterly allocation remains a model assumption. Monthly sales are useful for the near-term recognition bridge; a strong monthly print does not identify the exact product, margin or customer concentration behind it.

XPO and CPO references must be mapped to actual assemblies, bills of material and purchase orders. They are not automatically two additive addressable markets. Multiple sourcing, connector redesign, integration into a larger module or a different laser-cooling approach could change Nextronics' captured content even if industry optical traffic grows. The convertible and option assumptions below govern forward per-share economics; proposed financing terms are not treated as completed issuance.

Research provenance: the product and competitive analysis in this section synthesizes the supplied original research. Dated market-share, process and channel claims retain their original evidence status; this integration is not a new independent verification of those claims. Current earnings and model assumptions are set out below.

2. Earnings, guidance and operating assumptions

Latest earnings and monthly evidence

Q2 reported revenue is TWD 523.419M, gross profit TWD 187.447M and operating profit TWD 42.041M. Product revenue is connectors TWD 376.017M, electronic assembly TWD 117.557M and other TWD 29.845M. Group gross margin is 35.81% and OP margin 8.03%. [NEX-1]

July revenue of TWD 188.823M, August 229.772M and reported September 237.377M sum to Q3 revenue of TWD 655.972M. This replaces the prior TWD 648.367M forecast (+1.17%). Monthly sales do not disclose quarterly product mix, gross margins or operating profit; those remain model assumptions. [MONTHLY-202609] Q4 remains the existing TWD 689.316M forecast. The 2027-2030 growth calculation retains its explicitly dated FY2026 reference inputs; this monthly realization update is not a second connector-persistence upgrade.

The new September 30 conference discloses January-August product revenue of connectors TWD 961.421M versus 654.831M, subsystem assembly 363.354M versus 362.991M, and other 76.923M versus 68.785M. Connector growth is 46.819714%; assembly is about 0.10%. The prior-year product rows total 1,086.607M, 0.001M above the displayed consolidated total, a source-rounding discrepancy. No part of the 1,401.698M January-August total is added again. [NEX-10, p9]

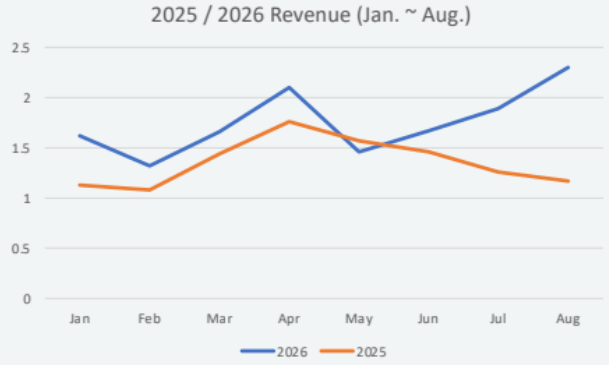
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OPERATIONS

Jan–Aug 2026 Revenue & Product Mix

Revenue Trend

Monthly Consolidated Revenue (Jan–Aug)



Products Portfolio

Product Mix (Jan–Aug)

NT$ thousand	Jan–Aug 2026	%	Jan–Aug 2025	%
Connectors	961,421	69%	654,831	60%
Sub-System	363,354	26%	362,991	33%
Others	76,923	5%	68,785	6%
Total	1,401,698	100%	1,086,606	100%

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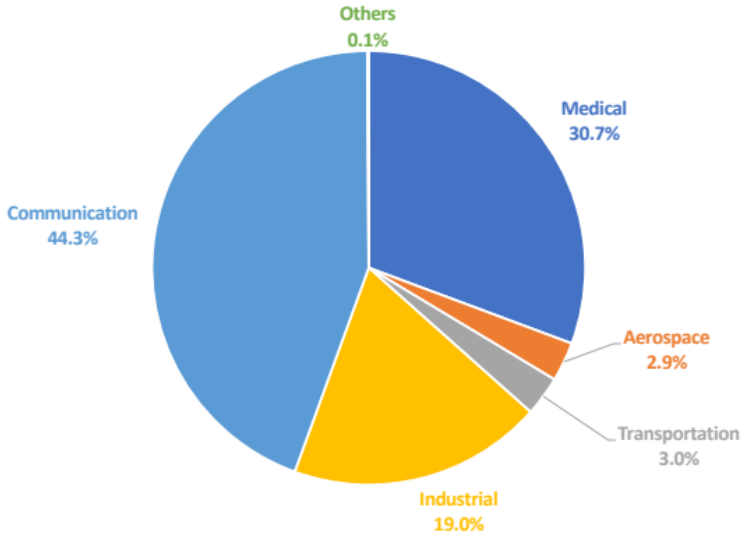
Issuer conference September 30, page 9: January-August product revenue. Source amounts are TWD thousands; model amounts divide by 1,000.

Product mix and recognition

The model retains the three financial-statement product categories. Communication, medical, industrial, transport and aerospace are applications within those products and are never added to product revenue. The issuer's January-August end-market mix is communication 44.3%, medical 30.7%, industrial 19.0%, transportation 3.0%, aerospace 2.9% and other 0.1%. [NEX-10, p10]

OPERATIONS

Jan–Aug 2026 Revenue by Application Market



Application Market	2026 Share	2025 Share
Medical	30.7%	27.5%
Aerospace	2.9%	3.3%
Transportation	3.0%	2.3%
Industrial	19.0%	18.8%
Communication	44.3%	47.3%
Others	0.1%	0.8%
Total	100.0%	100.0%

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Issuer conference September 30, page 10: end-market revenue mix. These percentages describe the same sales as the product table, not additional revenue.

Management's earlier AGM comments indicated 40-50% AI-revenue growth in 2026 and more material XPO contribution in 2027. The reported 30-50% total-company growth range was an institutional estimate, not formal management financial guidance. [NEX-4] September's 2027 outlook remains qualitative. Its industry bandwidth roadmap includes third-party estimates rather than customer orders or issuer financial guidance. [NEX-10, pp15-16]

XPO extends pluggable optical density and cooling; CPO moves optics close to switching silicon. These are architecture choices, not two additional full sales streams for the same system. The company's architecture article establishes capability direction, not a customer-specific purchase commitment. [NEX-5]

Capacity and the existing assembly growth assumption

OPERATIONS

Global Capacity Readiness

- 2025–26: Capacity realigned for product transition and geopolitics
- Jan–Aug 2026: Global sites built out, staffed and customer-qualified

- ★ Level 1: Component Manufacturing
- ★ Level 2: Component Assembly
- ★ Level 3: Metal & Plastic Integration
- ★ Level 4: Kit Assembly
- ★ Level 5: Chassis Assembly & I/O Testing



Guangzhou Plant ★★★★

- Capacity +33%
- Headcount +16%
- Utilization 100%

New Taipei Plant ★★★★★

- Lv5 line: MP in Q4
- Medical line certified
- +1,320 m² floor space
- Headcount +20.3%

Changbin Line ★★★

- Production starts Q4 2026
- Precision machining
- Automated inspection

Thailand Plant ★★★

- Medical line certified Q2 2026
- Medical products MP Q3 2026
- Optical comm. products MP Q4 2026

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Issuer conference September 30, page 11: Guangzhou, New Taipei, Thailand and Changbin capacity readiness and production milestones.

Guangzhou reports capacity +33%, headcount +16% and utilization of 100%. New Taipei adds 1,320 square metres and 20.3% headcount, with Level 5 chassis assembly and I/O testing entering mass production in Q4. Thailand's medical line was certified in Q2, medical products entered mass production in Q3, and optical-communication production is planned for Q4. Changbin starts production in Q4 2026 for precision machining and automated inspection. These are site-level operating milestones; they do not specify units, ASP, incremental company revenue or incremental profit. [NEX-10, p11]

The existing assembly path already assumes a substantial capacity ramp: 50% growth in both 2027 and 2028, followed by 40% and 30%. The new site milestones support that existing path. A second capacity revenue layer would duplicate it. The zero additional capacity amount is an overlap disposition, not a zero probability assigned to production. Confirmed timing and subsequent assembly conversion will test the embedded assumption.

Probability ledger and incremental connector bridge

Ledger field	Active treatment
Signal / original source	NEX-10, September 30 issuer conference, product revenue p9; capacity p11 is correlated support, not independent confirmation.
Exact hypothesis	The improvement in Jan-Aug connector growth above the previously used H1 ratio persists into calendar 2027.
Subjective probability	60%. Actual product growth and capacity readiness support persistence, while a short observation window, almost flat assembly sales, unreported product margins and unquantified customer orders limit certainty.
Reference already included	H1 ratio 685.987 / 485.744 = 1.4122397806x, applied to FY26 connector model 1649.118760M.
Full conditional endpoint	Jan-Aug ratio 961.421 / 654.831 = 1.4681971379x; FY27 connector revenue 2421.231443M.
Active formula	Old ratio + 60% x (new ratio - old ratio) = 1.4458141950x, equivalent to 44.581419% growth.
Active contribution	FY27 incremental connector revenue 55.368197M; gross profit and OP 23.808325M before any additional operating-cost requirement.
Model cells	AJ10 old ratio; AJ11 new ratio; AJ12 probability; AJ7 active ratio. AB5:AB8 feed quarterly connectors C19:C34, then GP J, OP M, forward OP O and ceiling R.
Overlap treatment	FY26 monthly totals are already included. Capacity is already embedded in assembly. No extra AI/end-market layer; no second probability multiplication.
Raise / reduce / remove	Reconcile future monthly product sales with quarterly filings; raise confidence if connector growth persists with margin conversion. Reduce it if growth normalizes, mix deteriorates, utilization slips, customer programs are delayed or incremental costs rise.

The probability is a model judgment about a future incremental outcome, not a measured frequency or company guidance. The prior and full-persistence cases below are diagnostic endpoints; the 60% case is the only active forecast.

2027 connector bridge	Reference p=0%	Active p=60%	Full p=100%
Growth ratio	1.4122397806x	1.4458141950x	1.4681971379x
Connector revenue	2,328.951116	2,384.319312	2,421.231443

2027 connector bridge	Reference p=0%	Active p=60%	Full p=100%
Incremental revenue	0.000000	55.368197	92.280328
Incremental production cost (57%)	0.000000	31.559872	52.599787
Incremental gross profit (43%)	0.000000	23.808325	39.680541
Additional modeled opex	0.000000	0.000000	0.000000
Incremental operating profit	0.000000	23.808325	39.680541

Demand timing, gross profit and operating costs

H2 2026 mix remains 72% connectors, 23% assembly and 5% other, close to Q2 disclosure. The new January-August product table is used only for the agreed connector-growth persistence input; it does not overwrite the H2 mix or add already-reported sales. Connector growth after 2027 remains 30%/25%/20%; assembly remains 50%/50%/40%/30% across 2027-2030; other products grow 10% annually. Annual demand is recognized 22%/24%/26%/28% by quarter. These are LOW-confidence model assumptions, not management commitments. The exact addressable market and issuer capture remain unquantified, so reported product sales remain the demand starting point.

The Q2 product revenue rows are actual. Product gross margins are analytical estimates calibrated to consolidated GP and OP. H2 model margins remain 42.5% connectors and 25% for both assembly and other products. Connector margins across 2027-2030 remain 43%/44%/44%/43%; assembly 30%/35%/38%/38%; other 25%. Manufacturing costs are included in these margins. The assembly recovery remains a major execution dependency.

Net operating costs remain TWD 146M in Q3 and TWD 151M in Q4, versus Q2's 145.406M. The FY2026 cost reference of 580.929M grows 10% annually thereafter. Keeping this existing opex path while admitting more connector revenue assumes available staffing, engineering and administrative capacity can absorb the incremental sales. It does not mean production is costless: 57% of incremental FY27 connector revenue is production cost, with 43% contributing to GP and OP. If extra operating capacity is required, each additional TWD 1M of annual opex reduces annual OP by TWD 1M. No separate property-disposal gains enter recurring operating earnings.

Forward dilution bridge

The report shows 41.6347M issued shares, 0.1825M pending issuance and 4.151M outstanding options. Full option issuance is modeled without assumed repurchases from option proceeds. The existing TWD 298.8M convertible at TWD 129.4 adds 2.309119011M shares, giving a known full-conversion proxy of 48.277319011M. Q2 diluted EPS shares of 42.736M exclude the convertible as anti-dilutive in that quarter; this does not establish future dilution. [NEX-1, NEX-7]

The August proposal adds up to TWD 300M of convertible financing with final terms still unannounced. The existing illustrative TWD 129.4 conversion price adds 2.318392581M shares, producing the unchanged 50.595711592M all-in denominator. This is a provisional assumption, not the fourth bond's actual pricing. [NEX-6] Without that proposed issuance the ceiling is about 4.8% higher. Every additional 1M shares lowers it by roughly 2%.

3. Analytical score

The category arithmetic gives **43/60 = 72/100** after the existing -4-point risk deduction. The portfolio Base remains **70/100**. Risk-class detail appears in section 7.

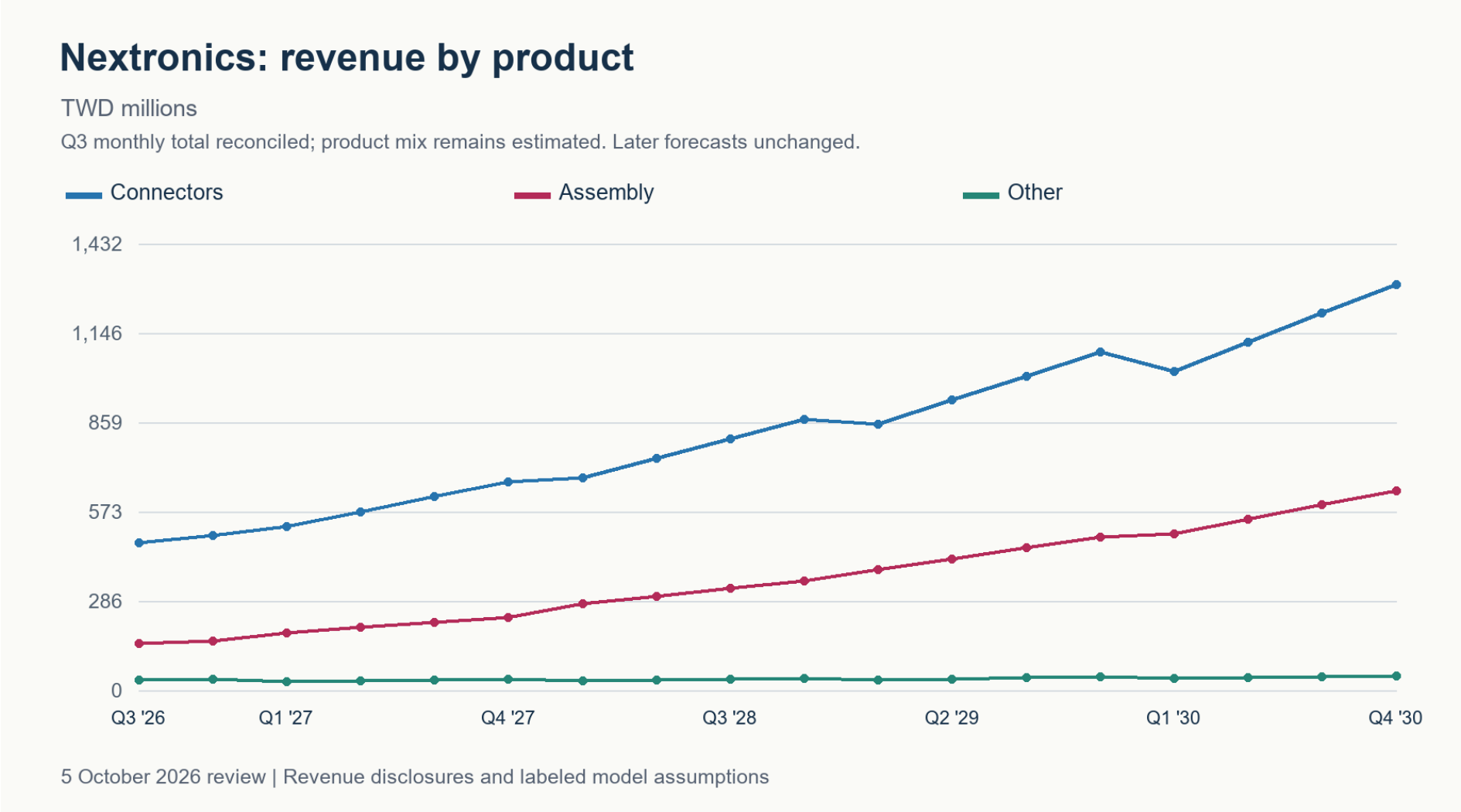
Category	Points	Maximum	Basis
Core thesis	14	20	Specialized connector and thermal integration with qualification barriers, but no demonstrated sole-source monopoly.
Cycle stage	8	10	August revenue acceleration and 2027 XPO opportunity; Q2 margin conversion remains weak.
TAM expansion	9	10	AI interconnect/cooling, medical, robotics and aerospace expand content per system.
Catalysts	4	5	XPO ramp, Thai/Taiwan production and customer program conversion.
Macro	8	10	AI infrastructure and medical demand support growth; regional manufacturing exposure remains.
Alpha	4	5	Chinese-language product and dilution disclosures materially improve the model.
Risks	-4	0	Customer/program dependence; production/margin execution; financing/dilution; regional trade and FX exposure.

4. Product economics and quarterly operating model

Reported anchors, management evidence and analyst assumptions remain distinct. All financial tables below use the same unrounded active model. Production cost is revenue less product gross profit; operating profit is gross profit less the existing net-opex path.

Vector	Source / derivation	Confidence
Connectors	Reported product sales; 60% weighted persistence of the incremental Jan-Aug growth ratio, then retained outer-year growth.	Actual anchors HIGH; forward path LOW
Electronic assembly	Existing capacity and XPO growth assumptions retained; new site milestones overlap that path.	LOW forecast
Other products	Existing 10% annual growth and 25% GM retained.	LOW forecast

Product revenue build



Current product revenue model; Q3 monthly sum reported, product mix estimated. TWD millions.

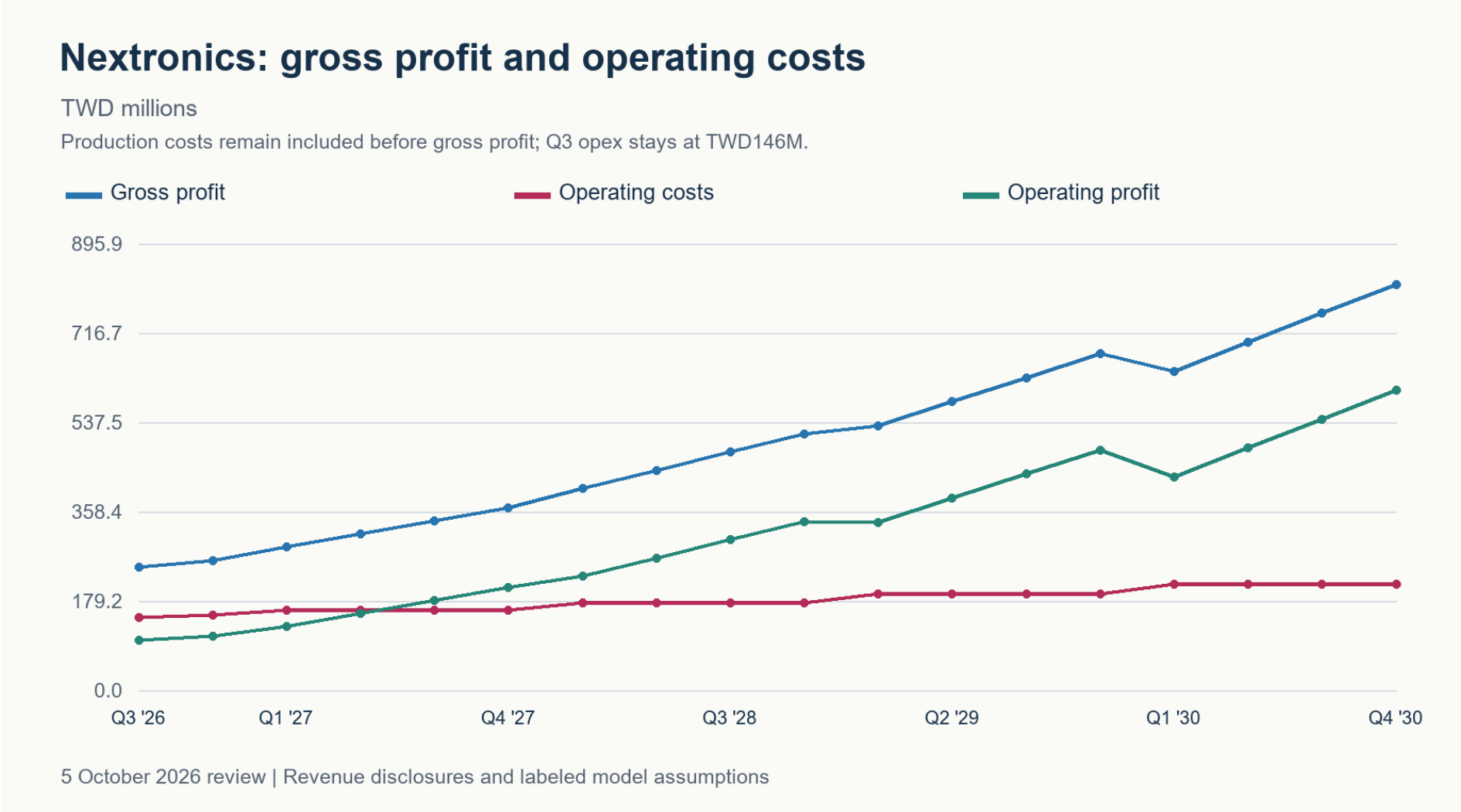
Quarter	Connectors	Electronic assembly	Other products	Total
Q3 2026	472.299840	150.873560	32.798600	655.972000
Q4 2026	496.307520	158.542680	34.465800	689.316000

Quarter	Connectors	Electronic assembly	Other products	Total
Q1 2027	524.550249	184.031790	27.586826	736.168865
Q2 2027	572.236635	200.761952	30.094720	803.093307
Q3 2027	619.923021	217.492115	32.602613	870.017749
Q4 2027	667.609407	234.222278	35.110506	936.942191
Q1 2028	681.915323	276.047685	30.345509	988.308517
Q2 2028	743.907625	301.142929	33.104192	1,078.154746
Q3 2028	805.899928	326.238173	35.862874	1,168.000974
Q4 2028	867.892230	351.333417	38.621557	1,257.847203
Q1 2029	852.394154	386.466758	33.380060	1,272.240972
Q2 2029	929.884532	421.600100	36.414611	1,387.899243
Q3 2029	1,007.374909	456.733442	39.449162	1,503.557513
Q4 2029	1,084.865287	491.866783	42.483713	1,619.215783
Q1 2030	1,022.872985	502.406786	36.718066	1,561.997837
Q2 2030	1,115.861438	548.080130	40.056072	1,703.997640
Q3 2030	1,208.849891	593.753474	43.394078	1,845.997443
Q4 2030	1,301.838345	639.426818	46.732084	1,987.997247

Product gross margins

Quarter	Connectors	Electronic assembly	Other products
Q3 2026	42.5%	25.0%	25.0%
Q4 2026	42.5%	25.0%	25.0%
Q1 2027	43.0%	30.0%	25.0%
Q2 2027	43.0%	30.0%	25.0%
Q3 2027	43.0%	30.0%	25.0%
Q4 2027	43.0%	30.0%	25.0%
Q1 2028	44.0%	35.0%	25.0%
Q2 2028	44.0%	35.0%	25.0%
Q3 2028	44.0%	35.0%	25.0%
Q4 2028	44.0%	35.0%	25.0%
Q1 2029	44.0%	38.0%	25.0%
Q2 2029	44.0%	38.0%	25.0%
Q3 2029	44.0%	38.0%	25.0%
Q4 2029	44.0%	38.0%	25.0%
Q1 2030	43.0%	38.0%	25.0%
Q2 2030	43.0%	38.0%	25.0%
Q3 2030	43.0%	38.0%	25.0%
Q4 2030	43.0%	38.0%	25.0%

Quarterly operating model



Current gross profit, operating expenses and OP. TWD millions.

Quarter	Status	Revenue	Production cost	Gross profit	Opex	Operating profit	OP margin
Q3 2026	Monthly revenue actual; profit model	655.972000	409.326528	246.645472	146.000000	100.645472	15.34%
Q4 2026	Model	689.316000	430.133184	259.182816	151.000000	108.182816	15.69%

Quarter	Status	Revenue	Production cost	Gross profit	Opex	Operating profit	OP margin
Q1 2027	Model	736.168865	448.506014	287.662850	159.755475	127.907375	17.37%
Q2 2027	Model	803.093307	489.279288	313.814019	159.755475	154.058544	19.18%
Q3 2027	Model	870.017749	530.052562	339.965187	159.755475	180.209712	20.71%
Q4 2027	Model	936.942191	570.825836	366.116355	159.755475	206.360880	22.02%
Q1 2028	Model	988.308517	584.062708	404.245809	175.731023	228.514787	23.12%
Q2 2028	Model	1,078.154746	637.159318	440.995428	175.731023	265.264406	24.60%
Q3 2028	Model	1,168.000974	690.255927	477.745047	175.731023	302.014025	25.86%
Q4 2028	Model	1,257.847203	743.352537	514.494666	175.731023	338.763644	26.93%
Q1 2029	Model	1,272.240972	741.985161	530.255811	193.304125	336.951686	26.48%
Q2 2029	Model	1,387.899243	809.438358	578.460885	193.304125	385.156760	27.75%
Q3 2029	Model	1,503.557513	876.891554	626.665958	193.304125	433.361834	28.82%
Q4 2029	Model	1,619.215783	944.344751	674.871032	193.304125	481.566907	29.74%
Q1 2030	Model	1,561.997837	922.068358	639.929479	212.634537	427.294941	27.36%
Q2 2030	Model	1,703.997640	1,005.892754	698.104886	212.634537	485.470349	28.49%
Q3 2030	Model	1,845.997443	1,089.717150	756.280293	212.634537	543.645756	29.45%
Q4 2030	Model	1,987.997247	1,173.541547	814.455700	212.634537	601.821163	30.27%

Q3 revenue is the sum of three reported monthly totals; its product allocations and all profit estimates remain LOW-confidence model assumptions. Later forecast rows remain LOW confidence. No reported quarterly product margin is implied.

Annual model cross-check

Calendar year	Revenue	Gross profit	Production cost	Opex	Operating profit	OP margin
2027	3,346.222112	1,307.558411	2,038.663701	639.021900	668.536511	19.98%
2028	4,492.311440	1,837.480950	2,654.830490	702.924090	1,134.556860	25.26%
2029	5,782.913511	2,410.253686	3,372.659825	773.216499	1,637.037187	28.31%
2030	7,099.990167	2,908.770357	4,191.219809	850.538149	2,058.232209	28.99%

5. Forward four-quarter operating ceiling

Ceiling = the sum of operating profit in the starting quarter and next three quarters, in TWD millions, x 20 / 50.595711592M forward all-in shares. There is no FX conversion and no second probability factor. The original Q1 2028 headline is now one row in the full path; the standing calendar rule selects Q4 2027 as active.



Current rolling four-quarter ceiling path; Q4 2027 active. TWD/share. The prior persistence sensitivity remains in the numerical tables.

Quarter	Exact earnings window	Forward 4Q OP	Multiple	Shares M	Ceiling
Q3 2026	Q3 2026 to Q2 2027	490.794207	20x	50.595711592	194.006247
Q4 2026	Q4 2026 to Q3 2027	570.358447	20x	50.595711592	225.457229
Q1 2027	Q1 2027 to Q4 2027	668.536511	20x	50.595711592	264.266077
Q2 2027	Q2 2027 to Q1 2028	769.143922	20x	50.595711592	304.035223
Q3 2027	Q3 2027 to Q2 2028	880.349784	20x	50.595711592	347.993834
Q4 2027 ACTIVE	Q4 2027 to Q3 2028	1,002.154097	20x	50.595711592	396.141912
Q1 2028	Q1 2028 to Q4 2028	1,134.556860	20x	50.595711592	448.479456
Q2 2028	Q2 2028 to Q1 2029	1,242.993760	20x	50.595711592	491.343523
Q3 2028	Q3 2028 to Q2 2029	1,362.886114	20x	50.595711592	538.735822
Q4 2028	Q4 2028 to Q3 2029	1,494.233923	20x	50.595711592	590.656353
Q1 2029	Q1 2029 to Q4 2029	1,637.037187	20x	50.595711592	647.105115
Q2 2029	Q2 2029 to Q1 2030	1,727.380442	20x	50.595711592	682.816938
Q3 2029	Q3 2029 to Q2 2030	1,827.694031	20x	50.595711592	722.469938
Q4 2029	Q4 2029 to Q3 2030	1,937.977953	20x	50.595711592	766.064116
Q1 2030	Q1 2030 to Q4 2030	2,058.232209	20x	50.595711592	813.599471

The final three operating rows have no ceiling because the required four-quarter windows extend beyond the modeled period. No incomplete window is valued.

Probability sensitivity

Persistence assumption	2027 connector revenue	2027 total revenue	2027 OP	Active Q4 2027 ceiling
0%: no incremental persistence	2,328.951116	3,290.853916	644.728187	384.493032
60%: ACTIVE	2,384.319312	3,346.222112	668.536511	396.141912
100%: full persistence	2,421.231443	3,383.134243	684.408727	403.907832

Only connector persistence changes between these diagnostic cases. Assembly, other revenue, margins, operating costs, valuation multiple and shares remain the same.

Mechanical share sensitivity

Economic denominator	Share proxy M	Q4 2027 ceiling
Approved denominator	50.595711592	396.141912
5% more shares	53.125497172	377.278012
10% more shares	55.655282751	360.129011

This denominator sensitivity holds the active operating case fixed and is not an issuance forecast.

6. Industry relationships and read-throughs

TAM and cross-book learning

The positive cross-read for AAOI is that denser pluggables can support both optical-module demand and specialized cooling. It does not prove Nextronics supplies AAOI or any particular CSP. For ShunSin, higher optical volumes support the packaging opportunity only after specific customer qualification. For X-FAB and LPK, photonic processing and glass equipment have separate adoption schedules.

The capital lesson extends across the batch: employee options and convertible debt can create dilution even when current diluted EPS excludes some instruments. Full-conversion assumptions must be visible and must not be confused with reported weighted-average shares.

Sivers or other laser suppliers, FOCI optical attachment and Nextronics mechanical/electrical assemblies occupy different parts of the optical system. Validate which parts are present in the same design before translating a platform announcement into supplier revenue.

7. Risks and falsification tests

The following ledger makes the existing aggregate risk deduction explicit. It does not introduce another deduction or change the analytical score.

Risk class	Existing deduction
Customer and program concentration	-1
Production yield, product mix and margin execution	-1
Convertible financing and dilution	-1
Regional trade exposure and foreign exchange	-1
Total	**-4**

Risks and triggers

The four classes are customer/program concentration, manufacturing and margin conversion, financing/dilution, and regional trade/FX exposure. The August internal general-manager transition is an execution monitoring item, without an automatic score penalty. [NEX-8]

Next checks: Q3 product margins, October sales, XPO production acceptance, fourth-bond pricing and option/convertible exercises. September monthly revenue has now been incorporated. Strong monthly revenue alone does not prove margin recovery. The model is a conditional review estimate; its largest unresolved numeric inputs are assembly growth, product gross margins and final financing terms.

Numbered monitoring tests

#	Checkpoint	Evidence supporting the operating case	Counter-test / failure signal
1	Monthly bridge	Reconcile monthly sales to quarterly product revenue and GP.	Revenue acceleration without product-margin conversion weakens the ramp.
2	Qualified content	Require a production design and evidence of the supplied connector or thermal assembly.	An architecture mention without a bill-of-material role does not establish capture.
3	Source competition	Track second sources, redesigns and customer concentration.	Customer growth with declining content per system can offset industry demand.
4	Dilution	Replace assumed new-convertible terms with issued terms when disclosed.	Different conversion or option terms change the denominator directly.

Additional October monitoring test

Reconcile the January-August connector growth to Q3 product disclosure and gross-profit conversion. The active persistence probability is 60%. A sustained connector ratio with no extra operating-cost requirement supports it; a return toward the H1 ratio or delayed customer qualification weakens it. Treat Guangzhou utilization and the Q4 New Taipei/Thailand/Changbin milestones as overlapping capacity evidence, not separate demand awards.

8. Sources, evidence gaps and model snapshot

Sources below are those documented in the supplied earnings review. LOW-confidence product allocations, future margins, capacity bridges and incomplete management-call records remain unresolved where stated. Integrating the original research does not itself establish full Framework 8.0 evidentiary certification.

- **NEX-1** · 2026-08-12 · Company Q2 consolidated report.pdf). Report pp.6,29-30,32,35,39 and 56: quarterly actuals, products, options and debt.
- **NEX-2** · 2026-09-04 · August monthly company revenue announcement, reproduced by MoneyDJ. Latest monthly revenue; not quarterly earnings.
- **NEX-3** · 2026-07 month / accessed 2026-09-06 · Company monthly revenue table. January-July totals; August slot not yet filled on accessed company page.

- **NEX-4** · 2026-06-10 · Management AGM comments reported by Economic Daily. Company AI growth/XPO commentary; separate anonymous analyst total-revenue estimate.
- **NEX-5** · 2026-05-26 · Company XPO/CPO architecture article. Architecture and content opportunity, not quantified company orders.
- **NEX-6** · 2026-08-12 · Issuer fourth-convertible resolution, reproduced by Cnyes. Up to TWD 300M, conversion terms to be announced.
- **NEX-7** · 2026-06-24 · Issuer existing-convertible price adjustment, reproduced by Nstock. Conversion price 129.4 from July 16.
- **NEX-8** · 2026-08-12 · Issuer general-manager change announcement. Internal management transition; execution watch.
- **NEX-9** · 2026-09-01 · Uploaded workbook - User upload: v3_2_master_portfolio(1).xlsx. 20x sanctioned multiple.

The unchanged original source document is retained separately for full research provenance. It is an archive, not an additional active valuation case. Superseded score/ceiling tables are not incorporated into this active artifact.

- **NEX-10 - 2026-09-30 - Original issuer investor-conference presentation, English.** Page 7 repeats H1 results; p9 provides January-August product sales; p10 end-market mix; p11 site capacity and production timing; pp15-16 separate industry roadmap estimates from the qualitative 2027 company outlook. The supplied original Chinese and English versions are evidence, not independent signals. Presentation p17 contains a Q&A heading rather than a complete call transcript. No new Q3 earnings or quantified 2027 revenue/profit guidance is established.

Model snapshot: full operating path Q3 2026-Q4 2030, with 15 complete ceiling windows through Q1 2030. Active Q4 2027 = TWD 396.141912; Q1 2028 = TWD 448.479456. Portfolio Base = 70/100; analytical score = 43/60 = 72/100. Connector persistence probability = 60%. Future margins, operating-capacity absorption, assembly conversion and final financing terms remain assumptions.

October 5 source register and synchronization record

MONTHLY-202609: TPEX-8147-REVENUE-202609, revision 1. Primary MOPS disclosure; company 8147, period2026-09, retrieved2026-10-05T11:30:20.766686+00:00. Source SHA-256: f455ff77e33ef56980a15f623e78fec63d3a99dbd0fbf69aa27a08bebcf18b6e. The publication timestamp is not established from the monthly table. This current record supersedes September forecast-status wording while preserving earlier source cutoffs.

Current model snapshot: October 5, 2026; full original research retained. Master workbook sheet 8147_TWO_Q_Model. Active Q4 2027 target TWD 396.141912; analytical Base 72, protected Excel Base 70. Quarterly revenue, profit and ceiling tables above use the staged, validated workbook values.